

INITIATING COVERAGE

ITC LIMITED

NSE: ITC | BSE: 500875 | Nifty 50 & Sensex Constituent | ISIN: Equity Shares, FV ₹1

FMCG — Diversified / Cigarettes

Report date: September 5, 2026

Price & data as of NSE close, Sept 4, 2026

BUY

12-MONTH RATING

CMP

₹264.10

TARGET PRICE

₹280

PRICE UPSIDE

+6.0%

+ DIVIDEND YIELD

5.5%

TOTAL RETURN (12M)

~11–12%

MARKET CAP

**₹3,30,912
Cr**

52W HIGH / LOW

**₹427.00 /
₹255.50**

P/E (TTM)

16.7x

P/B

4.7x

DIV. YIELD

5.5%

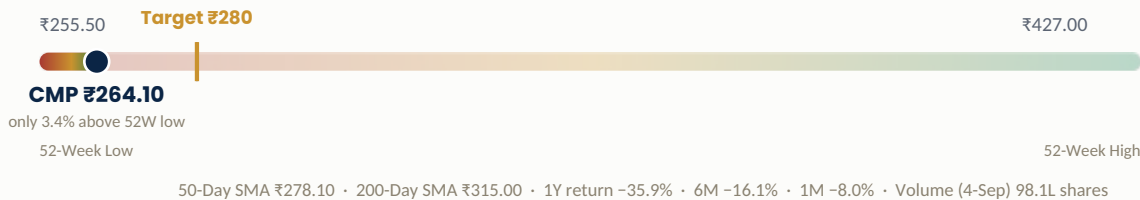
ROE

29.3%

ROCE

32.0%

CREDIT RATING

AAA**01 52-WEEK PRICE POSITION****02 COMPANY SNAPSHOT**

ITC Limited, incorporated in 1910 as the Imperial Tobacco Company of India and headquartered in Kolkata, is one of India's largest diversified enterprises with leadership positions spanning FMCG-Cigarettes, FMCG-Others, Paperboards & Packaging, Agri-Business and Information Technology (ITC Infotech). The Company commands an estimated ~80% share of India's organised, duty-paid cigarette market and has, over the past five years, built a fast-scaling non-cigarette FMCG franchise (Aashirvaad, Sunfeast, Bingo!, Yippee!, Savlon, Classmate and others) that generated over ₹24,200 Cr of revenue in FY26, up from ₹14,720 Cr in FY21. Following the January 2025 demerger of its hospitality business, ITC retains a ~40% associate stake in the separately listed ITC Hotels Limited. The stock has corrected ~36% over the past year — largely a function of the February 2026 cigarette tax restructuring — leaving valuations at a multi-year low relative to both history and FMCG peers.

03 INVESTMENT SNAPSHOT

- **Valuation at a floor:** 16.7x TTM earnings vs. a 3-year re-rating opportunity and steep discount to FMCG peers trading at 25x–78x.
- **Stock near cyclical low:** trading just 3.4% above its 52-week low, after tax-driven de-rating that looks largely priced in.
- **Fortress balance sheet:** CRISIL AAA/Stable and ICRA AAA(Stable) ratings, virtually zero debt, ROCE of 32%+.
- **Growing, well-covered dividend:** ₹14.50/share FY26 payout, ~5.5% yield, ~75% payout ratio.

04 RECENT CORPORATE ACTIONS & NEWSFLOW

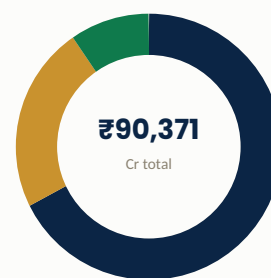
DATE	DEVELOPMENT
01-Sep-2026	NCLT sanctions amalgamation of BTPL and CTPL with ITC Infotech, effective 1-Sep-2026
31-Aug-2026	ITC Infotech to acquire a 22.106% stake in listed Happiest Minds Technologies, with a planned amalgamation, subject to approvals
31-Jul-2026	Q1 FY27 results announced alongside a ₹20,000 Cr medium-term capex roadmap unveiled at the AGM
24-Apr-2026	CRISIL reaffirms AAA/Stable/A1+ rating and enhances the rated bank-debt quantum
01-Feb-2026	Revised 40% GST slab and new per-stick excise duty on cigarettes take effect

05 BUSINESS OVERVIEW & SEGMENT MIX

ITC operates across four standalone reporting segments. **FMCG** — split between Cigarettes and FMCG-Others — is the anchor of profitability: cigarettes alone contribute an estimated ~33% of gross segment revenue but ~84% of segment operating profit, reflecting the category's pricing power and asset-light economics versus the still-scaling FMCG-Others portfolio. **Agri-Business** trades and exports commodities such as wheat, rice, spices, coffee and leaf tobacco, and is the most cyclical, geopolitically-exposed segment. **Paperboards, Paper & Packaging** serves both ITC's internal packaging needs and third-party FMCG/pharma customers from an integrated, largely-plantation-backed manufacturing base — bolstered by the March 2025 acquisition of Aditya Birla Real Estate's pulp & paper business. Beyond these, **ITC Infotech** provides IT services, and the Company holds a ~40% associate stake in the demerged **ITC Hotels Limited**, which carries its own independent CRISIL AAA/Stable/A1+ rating.

Recent portfolio moves underline management's intent to accelerate the non-cigarette growth engine: full ownership of Sresta Natural Bioproducts (24 Mantra Organic), a subsidiary stake in Sproutlife Foods (Yogabar), a 49.32% holding in Mother Sparsh Baby Care, and a 43.75% stake in Ample Foods. Separately, ITC Infotech's proposed 22.1% stake acquisition in listed Happiest Minds Technologies — with a planned amalgamation and public listing — echoes the value-unlocking playbook used successfully in the ITC Hotels demerger.

FY26 Segment Revenue Mix (Standalone)



■ FMCG (Cig. + Others)	67.8%
■ Agri Business	22.5%
■ Paperboards & Packaging	9.7%

Cigarette Profit Weight

~33% of gross revenue generates an estimated ~84% of segment operating profit — the key swing factor for consolidated earnings.

06 RECENT PORTFOLIO ACTIONS — FMCG ADJACENCY BUILD-OUT

TARGET	CATEGORY	STAKE	STATUS
Sresta Natural Bioproducts (24 Mantra Organic)	Organic packaged foods	100%	Wholly-owned subsidiary (2026)
Sproutlife Foods (Yogabar)	Protein / health snacking	Majority	Subsidiary from 1-Apr-2026
Mother Sparsh Baby Care	Baby & mother care	49.32%	Associate
Ample Foods	Packaged foods	43.75%	Associate (from Apr-2025)
Happiest Minds Technologies	IT services (via ITC Infotech)	22.11%	Proposed, pending approvals

07 INVESTMENT THESIS — WHY WE RATE ITC A BUY

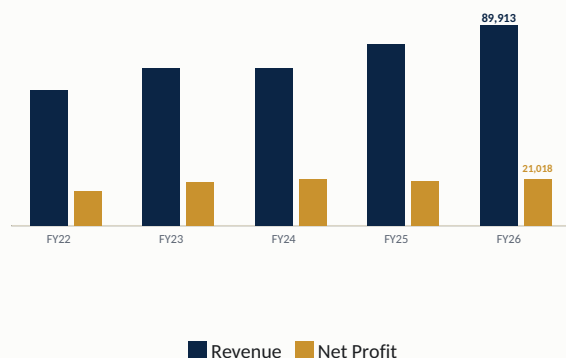
- **1. Valuation re-rating opportunity.** At 16.7x TTM earnings, ITC trades at a steep discount to FMCG peers HUL (~54x), Britannia (~59x) and Nestlé India (~76x), and even to fellow cigarette maker Godfrey Phillips (~25x) — despite a superior balance sheet and an AAA credit profile.
- **2. Tax overhang largely in the price.** The ~36% one-year correction has been driven chiefly by the Feb-2026 GST/excise restructuring on cigarettes. With the new tax structure now implemented and volumes described by management as "resilient," much of the regulatory risk appears reflected in the current quote, just 3.4% above the 52-week low.
- **3. Diversification is compounding.** FMCG-Others revenue grew 12% YoY in Q1 FY27 and has grown from ₹14,720 Cr (FY21) to over ₹24,200 Cr (FY26). A ₹20,000 Cr medium-term capex plan targets a slice of an estimated ₹8 lakh crore domestic FMCG opportunity by 2035.
- **4. Active, disciplined M&A** into premium/health-oriented adjacencies (organic foods, baby care, protein snacking) extends category reach without stressing the balance sheet.
- **5. Optionality from further value-unlocking** — the ITC Infotech/Happiest Minds transaction could replicate the value crystallisation seen in the 2025 ITC Hotels demerger.
- **6. Shareholder returns underpinned by a fortress balance sheet** — CRISIL AAA/Stable, ICRA AAA(Stable), near-zero debt, ROCE of 32%+ and a ~75% payout ratio supporting a ~5.5% dividend yield.

08 FINANCIAL PERFORMANCE

₹ CR, CONSOLIDATED	FY22	FY23	FY24	FY25	FY26
Revenue from Operations	60,668	70,937	70,881	81,613	89,913
Revenue Growth YoY	—	16.9%	(0.1%)	15.1%*	10.2%*
Net Profit (continuing ops)	15,486	19,428	20,724	20,036	21,018
PAT Growth YoY	—	25.5%	6.7%	(3.3%)	4.9%
EPS, Basic (₹, continuing ops)	12.37	15.50	16.42	15.78	16.52
PAT Margin	25.5%	27.4%	29.2%	24.6%*	23.4%*
Dividend per Share (₹)	8.25	11.50	13.00	14.35	14.50

*FY25–FY26 gross revenue and PAT-margin comparisons are distorted by the Feb-2026 shift from GST Compensation Cess to a per-stick excise duty on cigarettes, which inflates reported gross revenue without reflecting organic volume/value growth. FY25 net profit excludes a ~₹15,179 Cr one-off gain on the ITC Hotels demerger. Sources: Company filings, exchange disclosures, financial data aggregators.

Revenue & PAT Trend (₹ Cr)



5-Yr Snapshot

Revenue CAGR (FY22–26): **10.3%**
 PAT CAGR (FY22–26): **7.9%**
 Dividend CAGR (FY22–26): **15.2%**

09 STANDALONE FINANCIAL HIGHLIGHTS, FY26

GROSS REVENUE	YOY GROWTH	EBITDA	EBITDA GROWTH	STANDALONE PAT	BASIC EPS
₹80,867 Cr	+10.1%	₹25,208 Cr	+4.9%	₹20,286 Cr	₹16.20

Standalone results exclude subsidiaries/associates (incl. ITC Hotels' residual associate income) and are the basis on which the domestic cigarette and FMCG operating businesses are most commonly tracked by analysts. Source: Company exchange filings for the year ended 31-Mar-2026.

10 LATEST QUARTER — Q1 FY27 (QUARTER ENDED 30 JUNE 2026)

- **Consolidated PAT: ₹4,509 Cr**, down 15.6% YoY — includes a one-off ₹406 Cr gain as Sproutlife Foods became a subsidiary.
- **Standalone PAT: ₹3,579 Cr**, down 27% YoY — a sharper fall than the Street's modelled 11–13% decline, driven by the cigarette tax transition.
- **FMCG-Others revenue +12% YoY** — the clearest evidence of underlying franchise health.
- **Agri-Business revenue –17% YoY** on West Asia conflict-linked trade disruption and a high base.
- **Standalone EBITDA margin 26.7%**, down from 31.7% a year ago, on the tax transition and input-cost inflation.

Reading the Headline Numbers

Gross revenue growth (+28% YoY) in FY26–27 is inflated by cigarette excise duty now booked as revenue; it is not organic growth. Net revenue and profit trends are the more reliable read on the underlying business.

Dividend Declaration Track Record

FISCAL YEAR	INTERIM (₹)	FINAL (₹)	TOTAL (₹)
FY25	5.75	8.60	14.35
FY26	6.50	8.00	14.50

Final FY26 dividend of ₹8.00/share declared 21-May-2026. ITC has paid an uninterrupted, growing dividend for over two decades.

Outlook Into FY27

Management commentary alongside Q1 FY27 results characterised cigarette demand as resilient through the tax transition, flagged continued double-digit ambitions for FMCG-Others, and reaffirmed the ₹20,000 Cr capex programme — while acknowledging near-term margin pressure as pricing catches up with the new tax structure.

11 VALUATION RATIOS

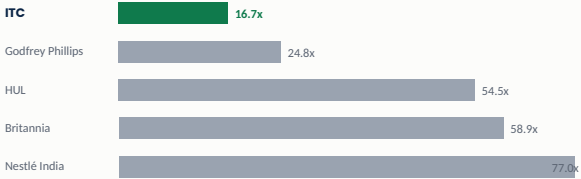
METRIC	ITC	METRIC	ITC
CMP / 52W Range	₹264.10 / ₹255.50–₹427.00	Return on Equity (ROE)	29.3% [†]
P/E (TTM)	16.7x	Return on Capital Employed (ROCE)	32.0% [†]
EPS (TTM, ₹)	15.83	Return on Invested Capital (ROIC)	36.6%
FY27E EPS, internal est. (₹)	16.90	EBITDA Margin (Standalone, Q1 FY27)	26.7%
Price / Book Value (P/B)	4.7x	Debt / Equity	~0.0x
EV / EBITDA	12.9x	Current Ratio	3.0x
PEG Ratio	4.8x	Dividend Payout Ratio (3-Yr Avg)	74.5%
Dividend Yield (Trailing)	5.5%	Dividend per Share, FY26 (₹)	14.50
Market Cap	₹3,30,912 Cr	Book Value per Share (₹)	55.96
Beta (5Y, monthly)	~0.0	Shares Outstanding	~1,253 Cr

[†]Reported 3-year average ROE is 35.2% and ROCE has ranged 29–37% over five years; both are elevated in FY25 by a one-off gain on the ITC Hotels demerger. Figures shown are latest normalised readings. Ratios computed from company filings and market data as of Sept 4, 2026 close; minor variances vs. individual data vendors reflect differing TTM cut-off dates.

12 PEER COMPARISON — THE VALUATION GAP

COMPANY	P/E (X)	P/B (X)	MKT CAP (₹CR)
ITC Limited	16.7	4.7	3,30,912
Godfrey Phillips (Cigarettes)	24.8	6.1	37,787
Hindustan Unilever	54.5	—	—
Britannia Industries	58.9	—	—
Nestlé India	77.0	—	—

P/E Multiple Comparison (x)



ITC trades at the steepest discount in the FMCG/tobacco universe despite a debt-free, AAA-rated balance sheet and best-in-class capital efficiency — the central plank of our re-rating thesis.

13 TARGET PRICE DERIVATION & RETURN BUILD-UP

Base-Case Method — Forward P/E

FY27E EPS (internal estimate): ₹16.90

× Target P/E multiple: 16.5x (broadly in line with the current trading multiple — a conservative re-rating assumption vs. the stock's own 3-year average and FMCG peer set)

= 12-Month Target Price: ₹280

Total Return Build-Up

Price appreciation (₹264.10 → ₹280): +6.0%

+ Trailing dividend yield: +5.5%

= Total expected 12-month return: ~11.5%

For context: Street consensus (S&P Global / Investing.com, 33–34 analysts tracked) carries a "Buy" rating with an average 12-month target of ₹327 (implied upside ~24%, range ₹270–₹440); Motilal Oswal's 2-Aug-2026 note carries a Neutral rating with a ₹300 target (~14% upside). Our base case is deliberately conservative relative to both, and treated as the realistic, achievable scenario for this report.

Scenario Analysis (Internal, 12-Month)

SCENARIO	FY27E EPS	TARGET P/E	TARGET	RETURN	KEY ASSUMPTION
Bull Case	₹17.50	19.0x	₹332	+25.7%	Multiple re-rates toward peers/history; no fresh tax hikes
Base Case	₹16.90	16.5x	₹280	+6.0%	Multiple broadly flat; earnings growth resumes from H2 FY27
Bear Case	₹15.50	14.0x	₹217	(17.8%)	Further cigarette tax action; continued volume/margin pressure

14 CREDIT PROFILE & BALANCE SHEET STRENGTH

AGENCY	LONG-TERM	SHORT-TERM	LATEST ACTION
CRISIL Ratings	AAA / Stable	A1+	Reaffirmed 24-Apr-2026; rated bank-debt quantum enhanced
ICRA	AAA (Stable)	A1+	Reaffirmed 27-Nov-2025
ITC Hotels Ltd (associate, ~40%)	AAA / Stable	A1+	Assigned by CRISIL, 06-Jan-2025, on demerger

Both agencies hold the rating at the highest point on the domestic scale, with a fully **Stable** outlook and no history of downgrade. Reaffirmations cite ITC's leadership in the domestic cigarette market (~80% share), strong and stable cash generation, a conservative, virtually debt-free capital structure, superior liquidity, and strong debt-protection metrics — even as rating agencies flag the FY26 cigarette-tax transition as a monitorable. CRISIL's April-2026 action *enhanced* the rated bank-debt quantum rather than reducing it, and ICRA's November-2025 note affirmed that the Jan-2025 hotels demerger had no material impact on ITC's financial risk profile, since the hospitality business represented under 5% of consolidated revenue and profit prior to separation.

Balance Sheet Highlights

Debt / Equity	~0.00x
Current Ratio	3.0x
Total Assets, FY26	₹93,792 Cr
Planned Medium-Term Capex	₹20,000 Cr

Why It Matters

A debt-free, AAA-rated balance sheet gives ITC full flexibility to fund its FMCG capex plan and bolt-on M&A entirely through internal accruals, without diluting shareholders or raising leverage — a meaningful advantage over more leveraged FMCG peers.

15 RATING HISTORY — CONSISTENCY OVER TIME

DATE	CRISIL	DATE	ICRA
24-Apr-2026	AAA/Stable	27-Nov-2025	AAA (Stable)
09-Apr-2025	AAA/Stable	29-Nov-2024	AAA (Stable)
26-Sep-2024	AAA/Stable	30-Nov-2023	AAA (Stable)
25-Aug-2023	AAA/Stable	—	—
30-May-2022	AAA/Stable	—	—

Zero Downgrades

Every reaffirmation across both agencies since at least 2022 has held at the highest AAA/A1+ level, spanning the FY26 cigarette-tax transition and the FY25 hotels demerger — a strong signal of earnings and balance-sheet resilience through both events.

16 KEY RISKS TO THE THESIS

- ! **Cigarette taxation overhang.** GST on cigarettes was raised to 40% (from 28%) with a new per-stick excise duty of ₹2,050–₹8,500 per 1,000 sticks, effective 1-Feb-2026; the statutory NCCD rate was separately raised from 25% to 60% (effective rate held at 25% by notification, leaving room for future hikes without fresh legislation). Since cigarettes drive an estimated ~84% of segment operating profit, further tax action remains the single biggest swing factor for earnings.
- ! **Illicit-trade risk.** Steep legal price increases have historically pushed volumes toward untaxed/smuggled cigarettes, pressuring the legal industry ITC dominates.
- ! **Agri-Business volatility.** Revenue fell 17% YoY in Q1 FY27 on West Asia conflict-linked trade disruption; the segment stays exposed to monsoon variability and global commodity swings.
- ! **Earnings-estimate risk.** Q1 FY27 standalone PAT fell 27% YoY — nearly double the 11–13% decline the Street had modelled — underlining that the tax-transition impact can outpace expectations.
- ! **Input-cost inflation.** Leaf tobacco, edible oils and packaging costs remain a margin swing factor; standalone EBITDA margin compressed to 26.7% in Q1 FY27 from 31.7% a year earlier.
- ! **Category competitive intensity.** FMCG-Others still trails specialised peers in scale in several categories and requires sustained investment to close the gap.

17 INVESTMENT RECOMMENDATION

BUY 12-MONTH HORIZON	CMP ₹264.10	TARGET PRICE ₹280	TOTAL RETURN (12M) ~11–12%
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We initiate on ITC Limited with a **BUY** rating and a 12-month target price of **₹280**, built from a conservative FY27E EPS of ₹16.90 and a target multiple of 16.5x — broadly in line with, not materially above, the stock's current trading multiple. Combined with a well-covered trailing dividend yield of ~5.5%, this implies a realistic, achievable total return of approximately **11–12%** over the next twelve months, comfortably below both the Street's average target (₹327) and Motilal Oswal's ₹300 Neutral-rated target — leaving room for upside surprise rather than requiring one. The case rests on a business trading near a cyclical low in both price (3.4% above its 52-week low) and valuation (16.7x TTM, versus FMCG peers at 25x–78x), backstopped by an AAA-rated, virtually debt-free balance sheet, industry-leading capital efficiency (ROCE 32%+), and a diversification strategy that is visibly gaining traction in FMCG-Others, even as the market digests a one-off cigarette tax shock.

18 SUMMARY SCORECARD

Strengths ~80% cigarette market share · AAA / A1+ ratings · Virtually debt-free · ROCE 32%+ · ~5.5% dividend yield · Iconic FMCG brand portfolio	Opportunities ₹8 lakh Cr FMCG TAM by 2035 · M&A into premium adjacencies · ITC Infotech value-unlocking · Multiple re-rating toward peers	Watch Items Further cigarette tax action · Illicit-trade share · Agri/geopolitical swings · FMCG-Others margin build-out
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19 FINANCIAL SUMMARY SNAPSHOT

₹ CR UNLESS STATED	FY24	FY25	FY26	RATIO	LATEST
Revenue from Operations	70,881	81,613	89,913	P/E (TTM)	16.7x
Net Profit (continuing ops)	20,724	20,036	21,018	P/B	4.7x
EPS, Basic (₹)	16.42	15.78	16.52	ROE	29.3%
Dividend per Share (₹)	13.00	14.35	14.50	ROCE	32.0%
Credit Rating (CRISIL/ICRA)	AAA/Stable throughout FY24–FY26, no downgrades			Debt/Equity	~0.0x

20 REPORT DETAILS & DISCLAIMER

Prepared by: ARSH BELIM, Equity Research Rating: BUY (Initiating)	Report date: September 5, 2026 Target Price: ₹280 (12-Month)	Data as of: NSE close, Sept 4, 2026 Sector: FMCG — Diversified / Cigarettes
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